DISCOVER

Discover is part of Capital One
Learn about Capital One →

Why open a savings account? 5 reasons to add savings to your financial mix

See why a savings account is an important part of your financial plan.

January 23, 2026

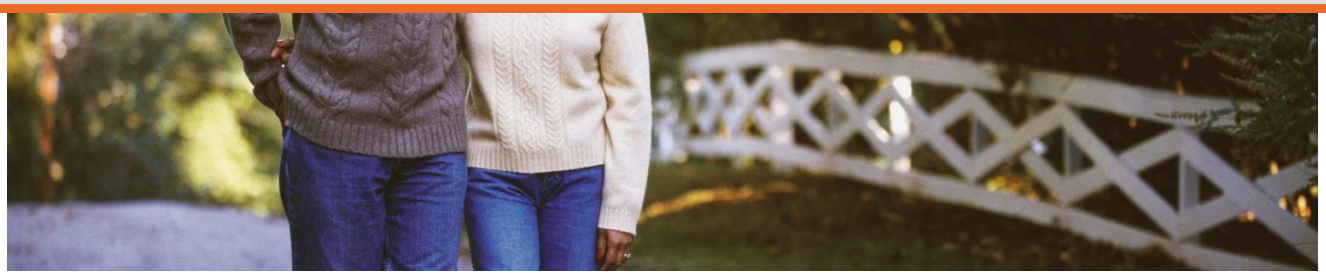
When it comes to saving money, you may have the best of intentions. You might be saving up for repairs to your home, for instance, or planning to build an emergency fund that will cover an unexpected financial challenge. Maybe you're striving to save more money this year than last year, and you're still trying to decide exactly how you'll use those hard-earned funds.

Whether you're starting your savings habits from scratch or you already save on a regular basis, it's important to decide where to keep your money. While you may have multiple account types on your radar–such as money market accounts, CDs or IRA CDs–savings accounts come with several key benefits that make them attractive vehicles for your money.

So, why is it important to open a savings account? Here are five reasons why opening a savings account and effectively managing a savings account can help you achieve your financial goals:

DISCOVER

Discover is part of Capital One
Learn about Capital One →



1. Most savings accounts are safe and insured

When you're choosing a savings account, your first concern might be keeping the money safe. You've worked hard to build up your funds, so your savings account requirements should include FDIC insurance.

But what does this mean, exactly? The Federal Deposit Insurance Corporation (FDIC), a government agency, insures the deposits at FDIC-insured banks up to $250,000 or the maximum allowed by law. The standard insurance amount is $250,000 per depositor, per insured bank, for each account ownership category. FDIC insurance is backed by the full faith and credit of the U.S. government, which means that the U.S. Treasury stands behind FDIC-insured depositors.

When you're considering the question "why open a savings account?", be sure to confirm that the bank is FDIC-insured. You can do this by chatting with a bank representative, looking for the FDIC logo or information indicating the bank is a Member FDIC on the bank's website or using the FDIC's BankFind tool. Note that many online savings accounts, as well as savings accounts at brick-and-mortar institutions, are FDIC-insured.

DISCOVER
Discover is part of Capital One
Learn about Capital One →



2. You can link your savings account with other accounts

Depending on your financial goals, when you're managing a savings account, one of your savings account requirements may be the ability to link it to other accounts for easy transfers and withdrawals. Many banks allow you to link your savings account to your other accounts at the institution (think: your go-to checking account), or even to accounts at other financial institutions.

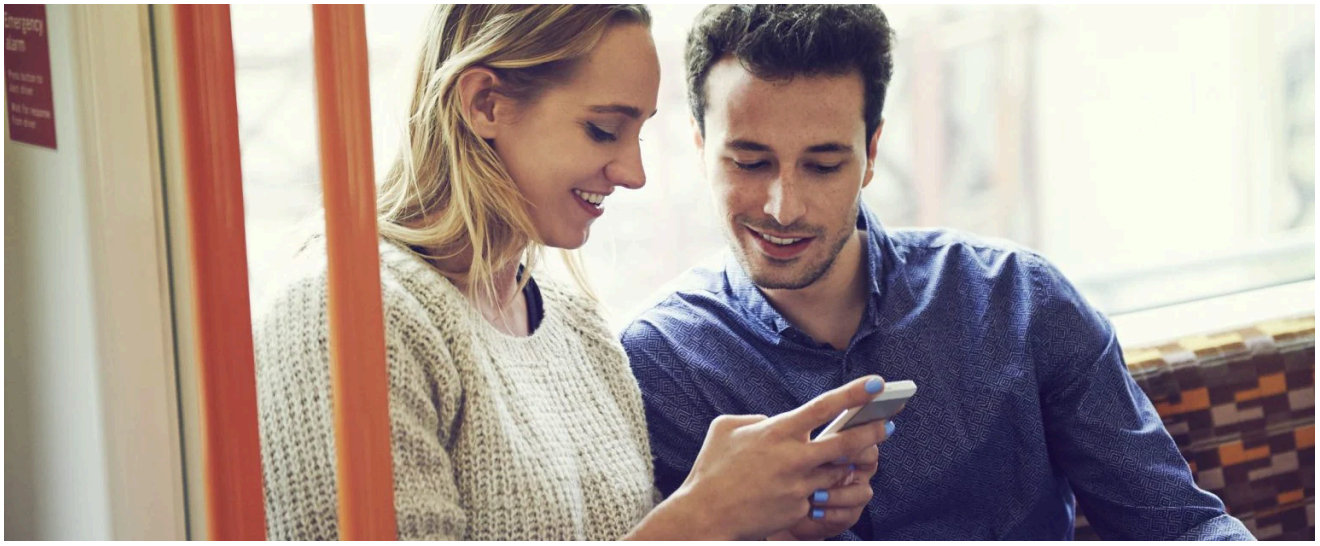
When you're choosing a savings account, keep in mind that connected accounts make it easy to move money around, especially when your savings goals require monthly and/or automatic transfers. If you're wanting to save up for those home repairs in advance of getting started, for example, you can set up automatic transfers from your checking account to your savings account so you're regularly working toward your goal and keeping your eyes on the prize. You're less likely to tap into this money for an unnecessary expense or splurge if it's tucked away in an account marked "home repairs."

Another answer to "why open a savings account?" is that linking your savings account to other accounts can allow you to easily make transfers in order to build your savings and get in a savings groove. One of the easiest ways to build savings is to have a percentage of each paycheck

DISCOVER
Discover is part of Capital One
Learn about Capital One →

around this “missing” chunk of income and how quickly your savings grow. Capital One’s Paycheck Percentage tool offers a simple, hands-off approach to building your savings every time you get paid.[1]

With an online savings account, you can easily set up transfers between accounts via your computer or mobile device any time of the day, 7 days a week.



3. Managing a savings account and growing your money is simple

One of the best things about a savings account is that managing a savings account requires little effort. Repeat: little effort. The money you deposit automatically earns interest, and that interest compounds over time, accelerating the growth of your money.

When choosing a savings account, one of the savings account requirements on your list may be a high interest rate. When comparing savings account interest rates, you may find it helpful to focus on the APY. Standing for annual percentage yield, the APY considers the account’s

DISCOVER

Discover is part of Capital One
Learn about Capital One →

Pro Tip:

Watch your windfall. Force yourself to wait three to six months before touching any tax refunds, gifts, inheritances or bonuses. Leave it in your high interest rate online savings account until then and see if you still feel the need to spend it.

When you deposit funds into your savings account, they'll start growing and compounding according to your account's APY. There's nothing else you need to do except for continuing to deposit your savings in the account—and track your progress. Grow your money at Capital One with one of the nation's top savings rates .[2]



4. There are few savings account requirements or limitations

If you're at least 18 years old, you can open a savings account at most institutions. In order to complete your application and open your account, there may be some savings account requirements, including providing

DISCOVER
Discover is part of Capital One
Learn about Capital One →

about depositing funds later.

As you're choosing a savings account and considering savings account requirements, make sure you research whether the bank requires you to maintain a minimum balance in the account in order to avoid a monthly maintenance fee. If you want to skip the stress of fees altogether, consider opening a savings account that has no monthly balance requirement and no maintenance fees. This will also allow you flexibility to make large withdrawals from your account when it's time to put your funds to work achieving one of your financial goals. Is it home repair time?! It's easy to start saving when there's no minimum balance required. You can open a Capital One account with any amount you've got.

Most savings accounts come with multiple options for withdrawing your money, including transfers to other accounts, official bank checks and outgoing wire transfers. Be sure to confirm any requirements or restrictions with the bank before opening an account.

Whether you're opening an online savings account or choosing a savings account at a physical branch location, the process of opening an account is typically easy to complete. If you have questions about the requirements, you may be able to call, chat or email a bank's representative for help.

5. Online savings accounts offer unique advantages

In the past, consumers had a propensity to open new accounts inside branches, but that behavior has been gradually changing over recent

DISCOVER
Discover is part of Capital One
Learn about Capital One →

the comfort of your home and device of choice.

In fact, since many online banks have no or limited brick-and-mortar buildings to maintain, they have reduced overhead expenses. These savings are often passed down to consumers in the form of higher interest rates. Online savings accounts may also have fewer fees, or no fees at all. For instance, you may be able to avoid fees for things such as monthly maintenance (maintaining a minimum balance) or insufficient funds.

If you're able to find a savings account with no fees to worry about and a high interest rate, it can be easy to grow your savings for any financial goal with an online savings account. When you also consider the convenience of being able to access and manage your account–and therefore, your money–any time day or night from your computer or mobile device, the question of "why open a savings account?" almost answers itself!



A savings account is an essential part of your financial plan

your family down the line.

Capital One Cafés offer extended operating hours, giving you more flexibility for your banking needs.[3]

---

[1]A Capital One checking and savings account is required to set up Paycheck Percentage. To set up the Paycheck Percentage feature, you must sign in with the Capital One Mobile app.

[2]The claims made regarding the competitiveness of our 360 Performance Savings account rate are based on Curinos Inc. national percentile data for savings accounts on balances of $1.

Experience may vary. Visit the 360 Performance Savings account disclosures for more details.

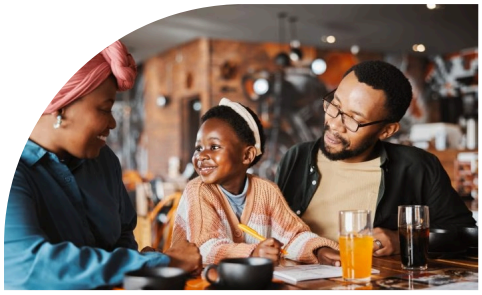
[3]Capital One Cafés do not provide the same services as bank branches but have self-service banking options, including ATMs and Ambassadors who can help you. Visit capitalone.com/local for individual Cafés services and hours.

Articles may contain information from third-parties. The inclusion of such information does not imply an affiliation with the bank or bank sponsorship, endorsement, or verification regarding the third-party or information. The information contained in this article is for informational purposes only and is not intended as a substitute for professional advice.

The information provided herein is for informational purposes only and is not intended to be construed as professional advice. Nothing contained in this article shall give rise to, or be construed to give rise to, any obligation or liability whatsoever on the part of Discover, a division of Capital One, N.A., or its affiliates.

Share

Related Content



When to use a debit card: 3 times it makes sense



Are debit cards safe? Here's what to know



Happy birthday to you! How to throw a meaningful birthday on your budget

©2026 Discover, a division of Capital One, N.A., Member FDIC

DISCOVER

EQUAL HOUSING LENDER

BBB ACCREDITED BUSINESS Click for Profile

Member FDIC